

## 24TRCV04199 24TRCV04199

County: los-angeles

Division: Civil Law and Motion

Department: M

Hearing date: 2026-09-23

Source URL:

[https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept\\_date=SBA%2CM%2C09%2F23%2F2026](https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SBA%2CM%2C09%2F23%2F2026)

Source SHA-256: b2cb89f8e87c788e6f7de68c224359f4b88d5c777db024ddac0e74197f845169

Case Number: 24TRCV04199 Hearing Date: September 23, 2026 Dept: M

LOS ANGELES SUPERIOR COURT –  
SOUTHWEST DISTRICT

Honorable Amy N. Carter Wednesday, September 23, 2026

Department M Calendar No.

### PROCEEDINGS

Luis

A. Hernandez Perez v. Jose Blanco, et al.

24TRCV04199

1.

Jose Blanco, et

al.'s Demurrer to First Amended Complaint

2.

Jose Blanco, et

al.'s Motion to Strike Portions of First Amended Complaint

3.

Brenda Z.

Blanco's Demurrer to First Amended Complaint

4.

Marivan Martinez

Hernandez, et al.'s Motion to Strike Portions of First Amended Complaint

## TENTATIVE RULING

Jose Blanco, et al.'s Demurrer to

First Amended Complaint is sustained with 20 days leave to amend, in part, and overruled, in part.

Jose Blanco, et al.'s Motion to

Strike Portions of First Amended Complaint is granted with 20 days leave to amend, in part, denied, in part, and is moot, in part.

Brenda Z. Blanco's Demurrer to First

Amended Complaint is sustained with 20 days leave to amend.

Marivan Martinez Hernandez, et al.'s

Motion to Strike Portions of First Amended Complaint is granted with 20 days leave to amend.

## Background

Plaintiff filed the Complaint on December 11, 2024. Plaintiff alleges the following facts. Defendants defaulted on loans made to them by Plaintiff. Plaintiff filed the First Amended Complaint on January 9, 2026. In addition to the default on the loans, Plaintiff alleges that Defendants transferred assets in order to avoid having to pay on any potential judgment. Plaintiff alleges the following causes of action: 1. Breach of Contract; 2. Breach of the Implied Covenant of Good Faith and Fair Dealing; 3. Fraud in the Inducement; 4. Breach of Fiduciary Duty; 5. Violation of Civil § 3439.04(a)(1) (Fraudulent Transfer); 6. Violation of Civil Code § 3439.04(a)(2) (Fraudulent Transfer); 7. Violation of Civil Code § 3439.05 (Fraudulent Transfer); 8. Violation of Civ. Code § 3439.04(a)(1); 9. Violation of Civ. Code § 3439.04(a)(2); 10. Violation of Civ. Code § 3439.05

## Meet and Confer

Defendants set forth a meet and

confer declarations in sufficient compliance with CCP §§ 430.41 and 435.5. (Decls., Chad Biggins; Christopher Yoo.)

## Demurrer

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the sufficiency of the complaint, the court must assume the truth of (1) the properly pleaded factual allegations; (2) facts that can be reasonably inferred from those expressly pleaded; and (3) judicially noticed matters. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

The Court may not consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.App.4th 634, 638.) Because a demurrer tests the legal sufficiency of a complaint, the plaintiff must show that the complaint alleges facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.)

Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. (C.C.P., § 430.10(e); Zelig v. County of Los Angeles (2002) 27 Cal.App.4th 1112, 1126.)

Sufficient facts are the essential facts of the case "with reasonable precision and with particularity sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643-644.)

"Whether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.) Under Code Civil Procedure § 430.10(f), a demurrer may also be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing they do not sufficiently apprise a defendant of the issues it is being asked to meet. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.)

Jose Blanco and Leap Year Accounts

Defendants demur to the FAC and the second through fourth causes of action on the grounds that the causes of action fail to state sufficient facts to state a cause of action and that the causes of action are uncertain. CCP § 430.10(e)(f).

Second Cause of Action for Breach of the Implied

## Covenant of Good Faith and Fair Dealing

Defendants' demurrer to the second cause of action is overruled, in part, and sustained with 20 days leave to amend, in part.

As to Jose Blanco, Plaintiff states sufficient facts to state a cause of action. The demurrer is overruled. As to Leap Year Accounts ("Leap Year"), Plaintiff fails to state sufficient facts to state a cause of action. The demurrer is sustained with 20 days leave to amend.

"Every contract contains an implied covenant of good faith and fair dealing providing that no party to the contract will do anything that would deprive another party of the benefits of the contract. The implied covenant protects the reasonable expectations of the contracting parties based on their mutual promises. The scope of conduct prohibited by the implied covenant depends on the purposes and express terms of the contract. Although breach of the implied covenant often is pleaded as a separate count, a breach of the implied covenant is necessarily a breach of contract." *Digerati Holdings, LLC v. Young Money Entertainment, LLC* (2011) 194 Cal.App.4th 873, 885 (internal citations omitted). A breach of the covenant of good faith and fair dealing does not give rise to a cause of action separate from a cause of action for breach of the contract containing the covenant. *Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 327 (stating that "where breach of an actual term is alleged, a separate implied covenant claim, based on the same breach, is superfluous.") "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395.

"The general rule [regarding the covenant of good faith] is plainly subject to the exception that the parties may, by express provisions of the contract, grant the right to engage in the very acts and conduct which would otherwise have been forbidden by an implied covenant of good faith and fair dealing." *Carma Developers (Cal.), Inc. v. Marathon Development California, Inc.* (1992) 2 Cal.4th 342, 374.

Plaintiff alleges that Defendants made "repeated assurances of payment." (FAC, ¶ 56). These acts of reassurance could qualify as

the separate acts of allegedly denying Plaintiff of the benefit of the bargain that can support a cause of action for Breach of the Implied Covenant of Good Faith and Fair Dealing. Thus, as to Jose Blanco, the demurrer to the second cause of action is overruled.

As to Leap Year, Plaintiff has failed to allege sufficient facts to demonstrate the existence of a contract between Plaintiff and Leap Year. The factual allegations only demonstrate the existence of a contract and/or contracts between Plaintiff and Jose Blanco. To the extent that Plaintiff appears to be relying on the allegations of alter ego liability, the allegations are conclusory and lacking in facts.

"In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone." *Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538.

Among the factors to be considered in applying the alter ego doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other. See *Id.* at 538-539. Other factors include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. See *Id.* at 539. No one characteristic governs. The courts must look at the totality of the circumstances to determine whether the doctrine should be applied. See *Id.*

The allegations regarding alter ego liability are made on information and belief. "[P]laintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true and thus a pleading made on information and belief is insufficient if it merely assert[s] the facts so

alleged without alleging such information that lead[s] [the plaintiff] to believe that the allegations are true.” Gomes v. Countrywide Home Loans, Inc. (2011) 192 Cal.App.4th 1149, 1158–1159 (internal citations and quotations are omitted; emphasis in original.)

Plaintiff fails to allege sufficient facts that would support the contention that the belief is true. Plaintiff simply provided a recitation of some of the essential elements of alter ego liability with no underlying facts other than those conclusions made “on information and belief.”

Third

Cause of Action for Fraud in the Inducement

Defendants’

demurrer is sustained with 20 days leave to amend. Plaintiff fails to state sufficient facts to state a cause of action.

“A

complaint for fraud must allege the following elements: (1) a knowingly false representation by the defendant; (2) an intent to deceive or induce reliance; (3) justifiable reliance by the plaintiff; and (4) resulting damages.” Service by Medallion, Inc. v. Clorox Co. (1996) 44 Cal.App.4th 1807, 1816. “[T]he elements of an action for fraud and deceit based on a concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he has known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248.

“Every

element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made.” Tarmann v. State Farm Mut.

Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157. Plaintiff must state facts which “show how, when, where, to whom, and by what means the representations were tendered.” Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.

Plaintiff alleges a cause of action for fraud in the inducement. Plaintiff alleges that Defendants induced Plaintiff into entering into the contracts. However, Plaintiff fails to allege the specific misrepresentation or misrepresentations that were made, when they were made, where they were made, and how and by what means the representations were made. As against Defendant Leap Year, presumably Plaintiff is attempting to allege that the representation was made by Jose Blanco in his status as sole shareholder, but, this has not been specifically alleged. In addition, Plaintiff has failed to allege facts to meet the elements of knowledge of falsity of the representations and intent to induce reliance.

The demurrer to the third cause of action is sustained with 20 days leave to amend.

#### Fourth Cause of Action for Breach of Fiduciary Duty

The demurrer to the fourth cause of action is sustained with 20 days leave to amend. Plaintiff fails to state sufficient facts to state a cause of action.

“The elements of a cause of action for breach of fiduciary duty are: (1) existence of a fiduciary duty; (2) breach of the fiduciary duty; and (3) damage proximately caused by the breach.” Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086–87 (internal citations and quotations omitted).

Plaintiff fails to state sufficient facts to show that Defendant Jose Blanco owed Plaintiff a fiduciary duty. Plaintiff alleges that Jose Blanco was an accountant and had performed accounting and tax services for Plaintiff for many years. However, Plaintiff has failed to allege sufficient facts to demonstrate that Defendant was acting in his capacity as an accountant and financial advisor in the context of the subject loans at issue. For example, had the parties entered into a financial services agreement for the handling of Plaintiff’s finances in the context of the loans at issue, then, Plaintiff presumably could have alleged those facts. Instead, the factual allegations, as currently framed, merely support the inference that Defendant Blanco was merely acting in

his own individual capacity rather than providing professional services for Plaintiff.

Defendant's

demurrer to the fourth cause of action is sustained with 20 days leave to amend.

Brenda Z. Blanco

Defendant demurs to the FAC and the fifth through tenth causes of action on the grounds that the causes of action fail to state sufficient facts to state a cause of action and that the causes of action are uncertain. CCP § 430.10(e)(f).

Under the UVTA, a transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, the debtor made the transfer or incurred the obligation with actual intent to hinder, delay, or defraud a creditor.

Civ. Code, § 3439.04(a)(1). The elements are: 1. Plaintiff has a right to payment from debtor; 2. Debtor transferred property to defendant; 3. Debtor transferred the property with the intent to hinder, delay, or defraud its creditors; 4. Plaintiff was harmed; and 5. Debtor's conduct was a substantial factor in causing plaintiff's harm. CACI 4200.

Civil Code § 3439.04 provides two methods of establishing a fraudulent transfer.

"Actual fraud," as defined in subdivision (a)(1), is a transfer made with "actual intent to hinder, delay or defraud any creditor of the debtor." "Constructive fraud," as defined in subdivision (a)(2), requires a showing that the debtor did not receive "reasonably equivalent value" for the transfer, and the transfer was made when the debtor (A) "was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction;" or (B) the debtor "[i]ntended to incur, or believed or reasonably should have believed that he or she would incur, debts beyond his or her ability to pay as they became due."



Section 3439.04 is construed to mean a transfer is fraudulent if the provisions of either subdivision are satisfied. See *Monastra v. Konica Business Machines U.S.A., Inc.* (1996) 43 Cal.App.4th 1628, 1635; See also *Lyons v. Security Pacific Nat. Bank* (1995) 40 Cal.App.4th 1001, 1020.

The elements of the cause of action are:

1. That plaintiff has a right to payment from debtor;
2. That debtor transferred property/incurred an obligation to defendant;
3. That debtor transferred the property/incurred the obligation with the intent to hinder, delay, or defraud one or more of the creditors;
4. That plaintiff was harmed; and
5. That debtor's conduct was a substantial factor in causing plaintiff's harm. CACI 4200.

Civ. Code, § 3439.05 states:

(a) A transfer made or obligation incurred by a debtor is voidable as to a creditor whose claim arose before the transfer was made or the obligation was incurred if the debtor made the transfer or incurred the obligation without receiving a reasonably equivalent value in exchange for the transfer or obligation and the debtor was insolvent at that time or the debtor became insolvent as a result of the transfer or obligation.

(b) A creditor making a claim for relief under subdivision (a) has the burden of proving the elements of the claim for relief by a preponderance of the evidence.

Civ. Code, § 3439.08 states:

“(a) A transfer or obligation is not voidable under paragraph (1) of subdivision (a) of Section 3439.04, against a person that took

in good faith and for a reasonably equivalent value given the debtor or against any subsequent transferee or obligee.

(b) To the extent a transfer is avoidable in an action by a creditor under paragraph (1) of subdivision (a) of Section 3439.07, the following rules apply:

(1) Except as otherwise provided in this section, the creditor may recover judgment for the value of the asset transferred, as adjusted under subdivision (c), or the amount necessary to satisfy the creditor's claim, whichever is less. The judgment may be entered against the following:

(A) The first transferee of the asset or the person for whose benefit the transfer was made.

(B) An immediate or mediate transferee of the first transferee, other than either of the following:

(i) A good faith transferee that took for value.

(ii) An immediate or mediate good faith transferee of a person described in clause (i).

(2) Recovery pursuant to paragraph (1) of subdivision (a), or subdivision (b), or subdivision (c) of Section 3439.07 of or from the asset transferred or its proceeds, or other property of the transferee, as applicable, by levy or otherwise, is available only against a person described in subparagraph (A) or (B) of paragraph (1).

(c) If the judgment under subdivision (b) is based upon the value of the asset transferred, the judgment shall be for an amount equal to the value of the asset at the time of the transfer, subject to adjustment as the equities may require.

(d) Notwithstanding voidability of a transfer or an obligation under this chapter, a good faith transferee or obligee is entitled, to the extent of the value given the debtor for the transfer or obligation, to the following:

(1) A lien on or a right to retain an interest in the asset transferred.

(2) Enforcement of an obligation incurred.

(3) A reduction in the amount of the liability on the judgment.

(e) A transfer is not voidable under paragraph (2) of subdivision (a) of Section 3439.04 or Section 3439.05 if the transfer results from either of the following:

(1) Termination of a lease upon default by the debtor when the termination is pursuant to the lease and applicable law.

(2) Enforcement of a lien in a noncollusive manner and in compliance with applicable law, including Division 9 (commencing with Section 9101) of the Commercial Code, other than a retention of collateral under Sections 9620 and 9621 of the Commercial Code and other than a voluntary transfer of the collateral by the debtor to the lienor in satisfaction of all or part of the secured obligation.

(f) The following rules determine the burden of proving matters referred to in this section:

(1) A party that seeks to invoke subdivision (a), (d), or (e) has the burden of proving the applicability of that subdivision.

(2) Except as otherwise provided in paragraph (3) or (4), the creditor has the burden of proving each applicable element of subdivision (b) or (c).

(3) The transferee has the burden of proving the applicability to the transferee of subparagraph (B) of paragraph (1) of subdivision (b).

(4) A party that seeks adjustment under subdivision (c) has the burden of proving the adjustment.

(g) The standard of proof required to establish

matters referred to in this section is preponderance of the evidence.”

Plaintiff has failed to allege sufficient facts to demonstrate that Defendant was a “debtor” for purposes of the UVTA. In the opposition, Plaintiff attempts to argue that Defendant should be converted into a debtor merely by her status as the wife of Jose Blanco on the theory that the loan money is community property. However, Plaintiff fails to provide competent authority to show that Defendant’s status as Plaintiff’s wife transforms her into a debtor with respect to a personal loan made by Jose Blanco. The UVTA defines “debtor” as a person who is liable on a claim CC § 3439.01. The non-debtor spouse, by definition, is not the person who incurred the obligation to the creditor and therefore does not independently qualify as a “debtor” under the statute merely because the debt is alleged to be a community obligation.

Plaintiff’s reference to *Filip v. Bucurenciu* (2005) 129 Cal.App.4th 825 for the proposition that the transfer’s spouse can be held liable for fraudulent transfer is unavailing as *Filip* is distinguishable. First, in *Filip*, the Plaintiff specifically alleged a theory of conspiracy. Here, no conspiracy allegations were alleged. Instead, the only allegations that came close to a conspiracy theory are the alter ego allegations which fail for the same reasons as noted above. Second, the alleged transfer occurred in the context of a marital dissolution proceeding and the resulting settlement of the marital dissolution action.

In addition, Plaintiff appears to intermingle theories against Brenda Blanco simultaneously alleging that she acted both as a transferor and a transferee. However, Plaintiff did not state a cause of action under CC § 3439.08 under the theory that Defendant should be held liable as a transferee.

Finally, many of the substantive factual allegations to support the elements of the causes of action are made on information and belief. . “[P]laintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true and thus a pleading made on information and belief is insufficient if it merely assert[s] the facts so alleged without alleging such information that lead[s] [the plaintiff] to believe that the allegations are true.” *Gomes v.*

*Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158–1159 (internal citations and quotations are omitted; emphasis in original.) Plaintiff

fails to allege sufficient facts that would support the contention that the belief is true.

Defendant's demurrer to the fifth through tenth causes of action is sustained with 20 days leave to amend.

Motion to  
Strike

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading.

CCP § 436(a). The court may also

strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. CCP § 436(b).

The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. CCP § 436.

The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. CCP § 437.

Jose Blanco, et al.

Defendant moves to strike allegations and prayers relating to punitive damages, agency, general damages, and attorneys' fees. Specifically, Defendant moves to strike the following paragraphs: 9, 10, 69, 77, and prayer for relief, p. 14 and 15.

As to Items 1 and 2 (paragraphs 69 and 77), the motion is moot upon the sustaining of the demurrer to the third and fourth causes of action.

As to Items 3 and 4 (paragraphs 9 and 10), the motion is denied. While the allegations of alter ego or conclusory and do not support a basis for alter ego liability, the Court cannot state, as a matter of law, that they are "false, irrelevant, or improper." Of course, as noted above in the ruling to the demurrer, Plaintiff may wish to consider amending the allegations regardless of the Court's ruling to the motion to strike.

As to Items 5 and 6 (prayer items 1a – general damages), the motion to strike is granted with 20 days leave to amend. General

damages are generally not recoverable under the UVTA. *Berger v. Varum* (2019) 35 Cal.App.5th 1013. However, such general damages may be available under a common law theory. *Id.* at 1019. Here, however, the general damages are sought solely in the context of the UVTA causes of action.

As to Item 7 (prayer p. 15, item 2 – attorneys' fees), the motion to strike is granted with 20 days leave to amend. Plaintiff states that attorneys' fees are sought on "all causes of action." (FAC, p. 15, line 26). However, Plaintiff fails to state a contractual or statutory basis for attorneys' fees to support a basis for attorneys' fees as to the first and second causes of action. Any basis for attorneys' fees as to the third and fourth causes of action is moot upon the sustaining of the demurrer to these causes of action.

Marivan Martinez Hernandez, et al.

Defendants move to strike the following:

1: Prayer for Relief, pg. 14, line 16, "General damages according to proof, but in no event less than \$300,000..." against Martinez Defendants.

2. Prayer for Relief, pg. 15, on "All Causes of Action," Item 2: "For attorneys' fees as permitted by law, equity or contract..." against Martinez Defendants.

As to Item 1, the motion to strike is granted with 20 days leave to amend. General damages are generally not recoverable under the UVTA. *Berger v. Varum* (2019) 35 Cal.App.5th 1013. However, such general damages may be available under a common law theory. *Id.* at 1019. Here, however, the general damages are sought solely in the context of the UVTA causes of action.

As to Item 2, the motion to strike is granted with 20 days leave to amend. Plaintiff has failed to state a contractual or statutory basis for attorneys' fees against moving Defendants. Plaintiff has failed to set forth a provision of the UVTA which supports a prayer for attorneys' fees against the transferee, nor has Plaintiff identified a separate statutory basis for the requested attorneys' fees.

Defendants' motion to strike is granted with 20 days  
leave to amend.

Defendant Jose Blanco is ordered to give notice of  
this ruling.